

AI Act 101

Not in

Agenda

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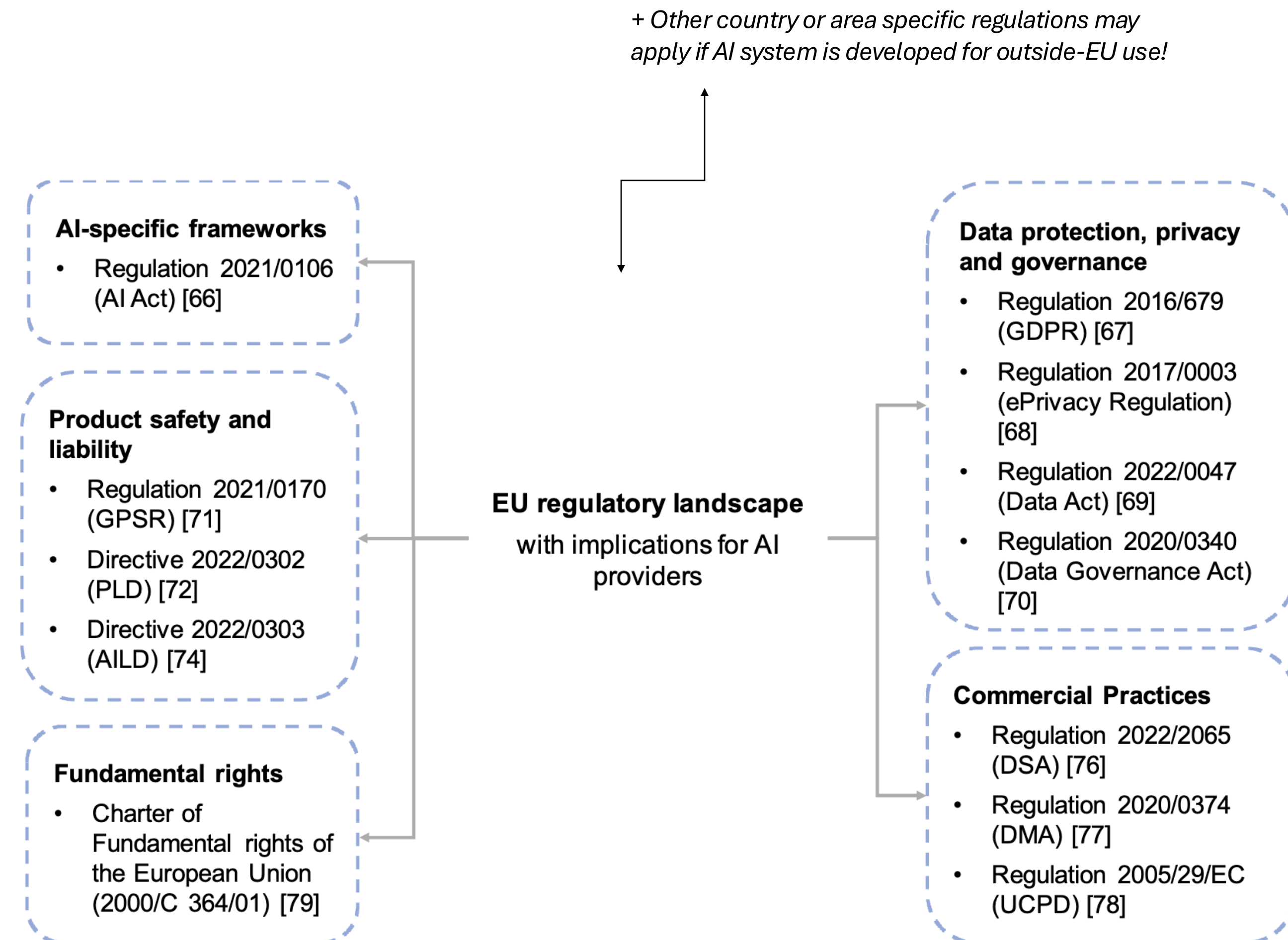
1 Why AI is regulated

Why is AI regulation needed?

- AI is sociotechnical: its functioning emerges from technology, human actors and decisions, institutional rules, and broader social context
 - Meaning: AI is not just a technology, but a social phenomenon!
- AI systems can generate significant societal risks, including but not limited to:
 - discrimination
 - opacity in decision-making
 - safety failures
 - privacy violations
 - erosion of human autonomy
 - large-scale societal impacts
- EU AI legislation strives to mitigate these risks by ensuring that AI aligns with EU's fundamental human rights and that responsibility is taken auditably by relevant stakeholders in the AI development chain.

AI regulation: current landscape

- Multiple EU regulations affect AI systems.
- Every AI use case is different = regulatory implications differ as well
- In AI systems, the AI component's regulatory baseline is in the EU AI Act. It always needs to be considered as it applies to all AI systems.
- Other relevant legal obligations apply depending on the system and the organization's industry.
- Examples:
 - If an AI system processes personal data, GDPR restrictions apply
 - If the organization's industry is heavily regulated, the industry-specific regulations apply to AI solutions in the industry as well



EU AI Act

- Risk-based framework that imposes restrictions and requirements based on:
 - Risk category
 - GPAI status
 - Role of stakeholder
- Most requirements fall on **providers** of AI systems
 - E.g. companies developing AI products or services
 - Clear responsibility chain is important to establish
- Some requirements fall on **deployers** of AI systems
 - E.g. companies using AI tools in their operations
 - Any organization using AI internally
- Both providers and deployers need to **understand and fulfill their obligations**

EU AI Act: risk-based framework

Unacceptable risk

E.g. social scoring, manipulation or deception, inferring emotions in workplaces

High risk

E.g. safety components in critical infrastructure, employment, education, access to essential services

High risk → limited risk

If specific exceptions apply: e.g. AI system performs narrow procedural tasks.

Limited risk

E.g. chatbots, AI-generated content

Minimal risk

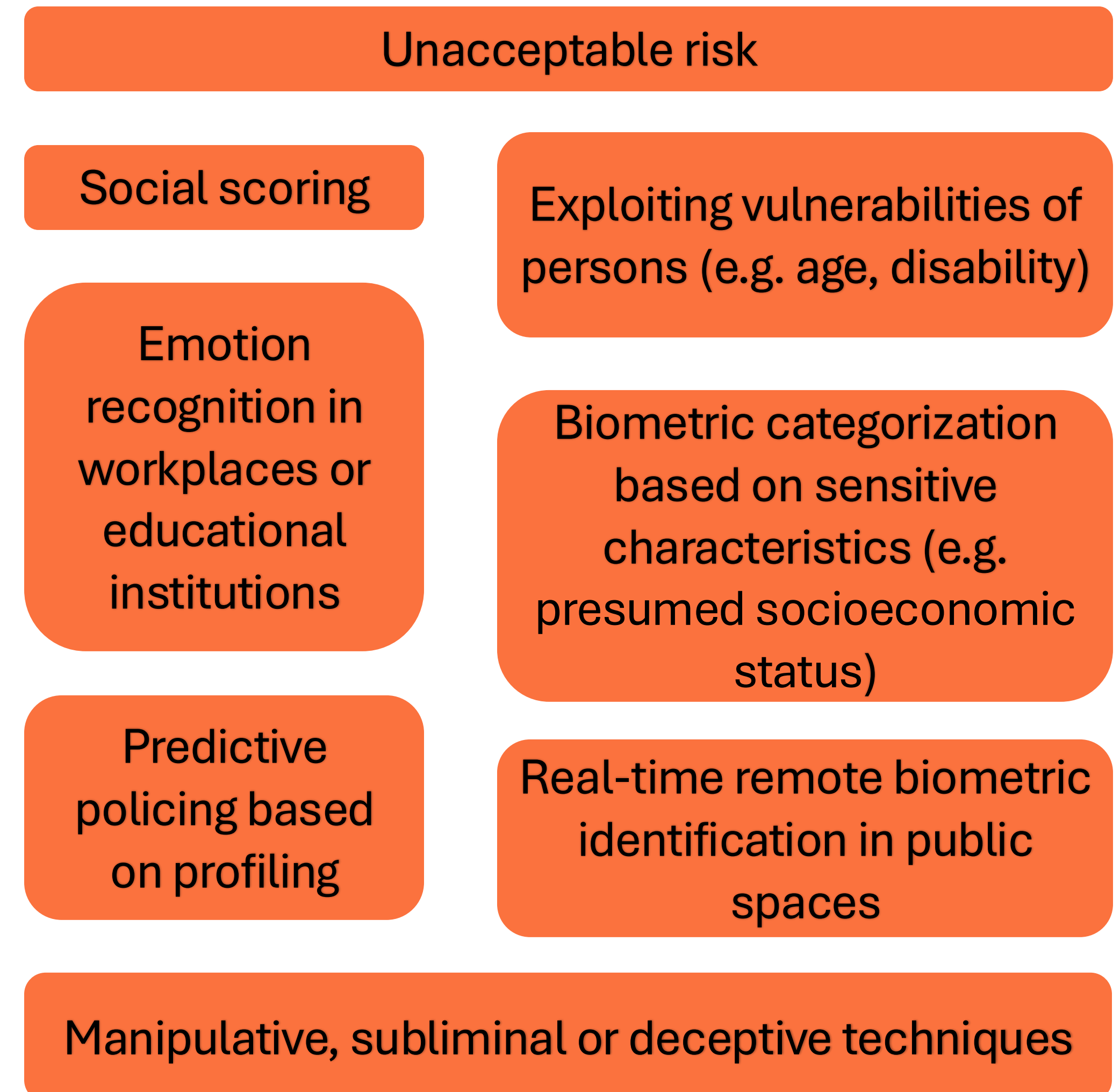
E.g. AI enabled video games, email spam filters

GPAI (=general purpose AI) status

Requirements for all AI systems and system stakeholders

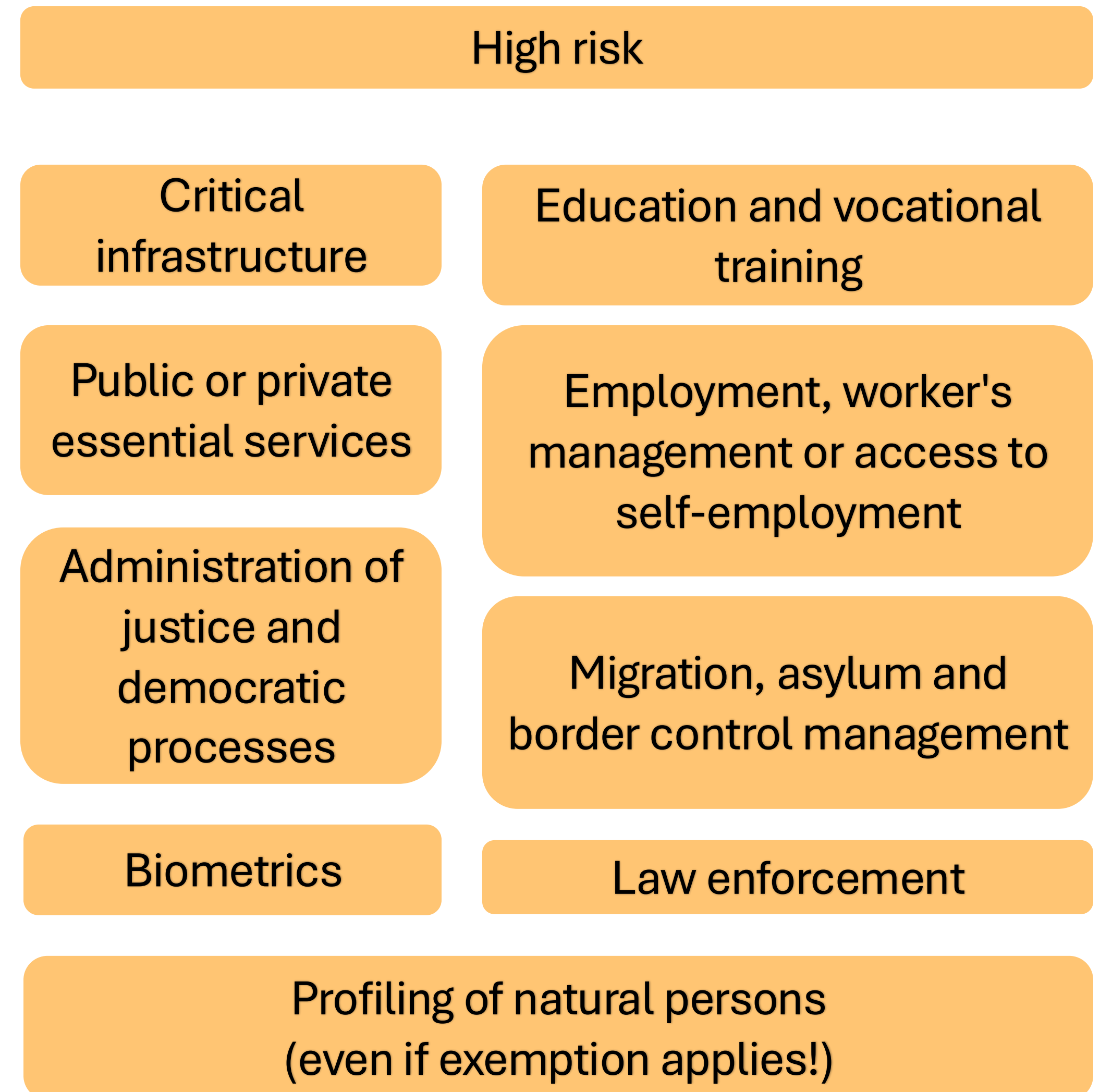
EU AI Act: unacceptable risk

- Prohibited practises are listed out explicitly
- Non-compliance is subject to fines up to 35 million euros or 7% of total annual turnover (whichever is higher)
- Awareness is important: if something feels it could fall into this category, it should be flagged immediately
- For example, AI can't be used to:
 - Analyze customer psychology to deploy personalized manipulative techniques for sales purposes
 - Make assumptions based on demographic data to prevent fraud or money laundering
 - Classify people based on sensitive characteristics in order to provide different service levels



EU AI Act: high risk

- High-risk AI systems are subject to multiple obligations
- Non-compliance is subject to fines up to 15 million euros or 3% of total annual turnover (whichever is higher)
- A high-risk system may be considered to be **exempt** from the obligations and classified as limited risk if its intended purpose is strictly limited to:
 - Performing narrow procedural tasks
 - Improving results of pre-existing, previously completed human activities
 - Detecting decision-making patterns while not meant to replace or influence previously completed human assessment without proper human review



EU AI Act: high risk

Obligations (must be demonstrated upon request)

Quality management system

Keeping logs throughout entire lifecycle

Registering the AI system to EU database

Fundamental rights assessment

Implementing robust transparency measures

Undergoing relevant conformity assessment

Providing contact information for users and other stakeholders

Compiling and keeping detailed documentation for 10 years

Implementing proper human oversight and cybersecurity measures

EU AI Act: limited risk

- Subject to transparency obligations
- Non-compliance is subject to fines up to 15 million euros or 3% of total annual turnover (whichever is higher)
- If an AI system is exempt from being high-risk and thus considered limited risk, it needs to be documented how this is justified
 - Providers must **document** their assessment **justifying why the system is not high-risk before it enters the market** → Therefore, this documentation needs to be created during the development phase
 - In addition, such provider needs to **register** the system in the EU database

Limited risk

Chatbots interacting with humans

AI-generated text, images or audio

All AI systems that would otherwise be high-risk, but match with exemptions

EU AI Act: minimal risk

- Not subject to AI Act regulatory requirements
 - Still subject to other relevant legislature, e.g. GDPR
- Minimal risk does not mean no oversight
 - While not specifically demanded in compliance, minimal risk AI systems should still be subject to AI governance and human oversight
 - **If minimal risk system changes, it should be reviewed to ensure appropriate risk categorization**
 - For example, if the system starts interacting with people or generating text for them, it becomes a limited risk system

Minimal risk

For example:

Grammar/spell-checks

Email spam filters

AI-enabled video games

Inventory management tools

EU AI Act: GPAi systems

- Divided into systemic risk presenting and non-systemic risk presenting
 - Most generally used LLMs, such as newer ChatGPT and Claude versions, present systemic risk
- Providers have a lot of documentation and governance obligations
 - Systemic risk presenting GPAI model providers have very heavy obligations
- Mostly the obligations have to do with the companies providing these models, but if for example a project includes deploying a 3rd party chatbot provider built on an LLM, the obligations extend to them
 - When deploying 3rd party AI, it's important to define the responsibility chain and verify that proper compliance materials are in place
 - Awareness is key; most obligations are on other parties

Determining the GPAI model provider

Single entity development:

- If Entity A develops and places a GPAI model on the EU market, Entity A is the provider.
- If Entity B develops the model for Entity A, but Entity A places it on the market, Entity A remains the provider.

Repository hosting:

- Uploading a model to a repository (e.g., hosted by Entity C) does not transfer provider status. Entity A remains the provider.

Consortium development:

- In the case of GPAI models developed by or for a consortium, the provider is typically the coordinator or the consortium itself, depending on the facts and contractual arrangements.

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